

Finding Goldmine Markets for Luxury Wholesaling

How we find the best markets to wholesale luxury tear down lots to builders.

What a goldmine market is

A goldmine market is a neighborhood where two things are true at the same time.

- First, builders are buying old houses, tearing them down, and building big new homes in their place.
- Second, there are still old houses you can buy at a price the owner is happy with, and then sell to a builder.

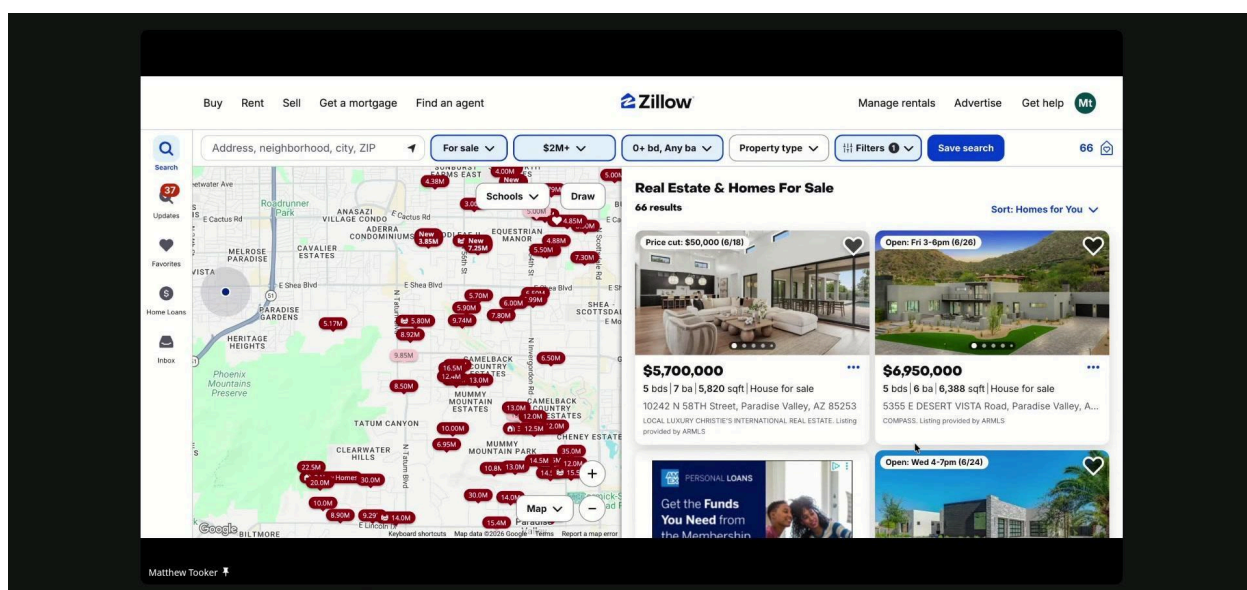
When you find both of those in the same pocket, you have a market worth working. This guide walks you through how to find one, step by step. Follow it in order.

All you need for this part is a free Zillow account. That is it.

Step 1: Set your Zillow filters

Before you search anything, set these four filters on Zillow. They do most of the work for you and clear out homes you do not care about.

- **Year built:** type 2022 in the box. This shows homes built in the last four years. You can use 2023 or 2024 if you only want the newest builds.
- **Beds and baths:** set this to Any. You want every house to show up, even the small ones.
- **Property type:** choose Houses only. New builds always show up as houses.
- **Price:** set the low end to \$2 million. In some markets you can start a little higher.



The filter bar across the top of Zillow. For sale, \$2M and up, beds set to any, and houses only.

Step 2: Search a city or zip code

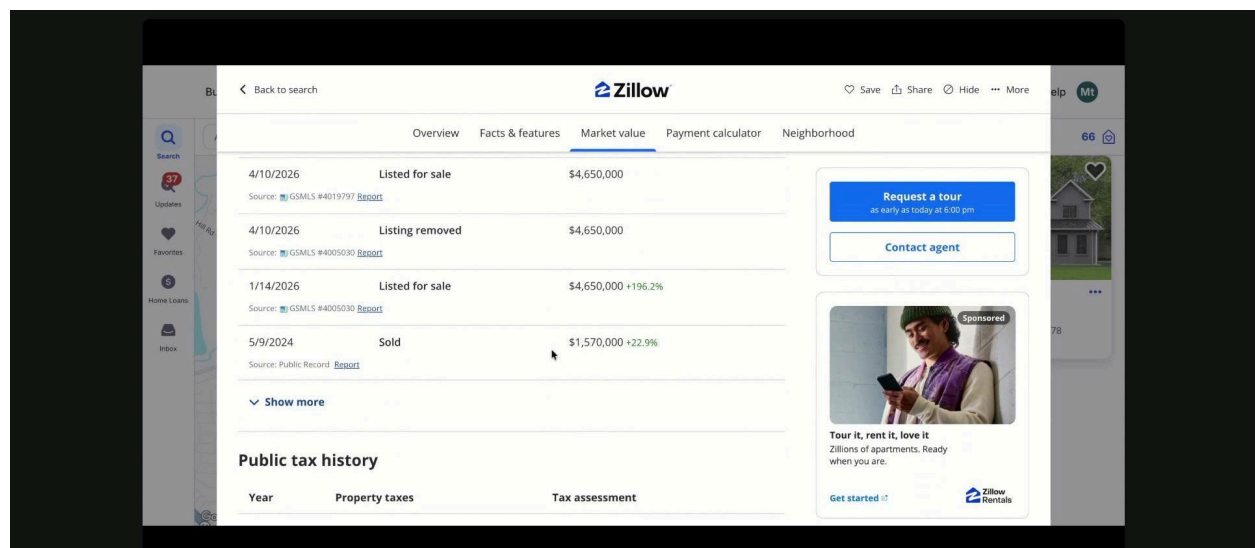
Type a city or a zip code in the search bar. Right away you will see the new homes that fit your filters.

Now click Remove Boundary. Zillow only shows homes inside the zip code line, and good homes often sit right on the border. Removing the boundary lets you see those too.

Step 3: Study the new builds

Look at the brand new homes that are for sale. You are hunting for a pattern. Click into a few of them, one at a time. For each one, write down three things: the year it was built, the lot size, and what it first sold for.

To find what it first sold for, scroll down to the price history. The old, lower price is what a builder paid for the old house before they tore it down and built the new one.



Date	Status	Price	Change
4/10/2026	Listed for sale	\$4,650,000	
4/10/2026	Listing removed	\$4,650,000	
1/14/2026	Listed for sale	\$4,650,000	+196.2%
5/9/2024	Sold	\$1,570,000	+22.9%

Public tax history

Year	Property taxes	Tax assessment
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The price history shows this home sold in 2024 for \$1,570,000. That is what a builder paid for the old house on this lot.

Step 4: Find the trend

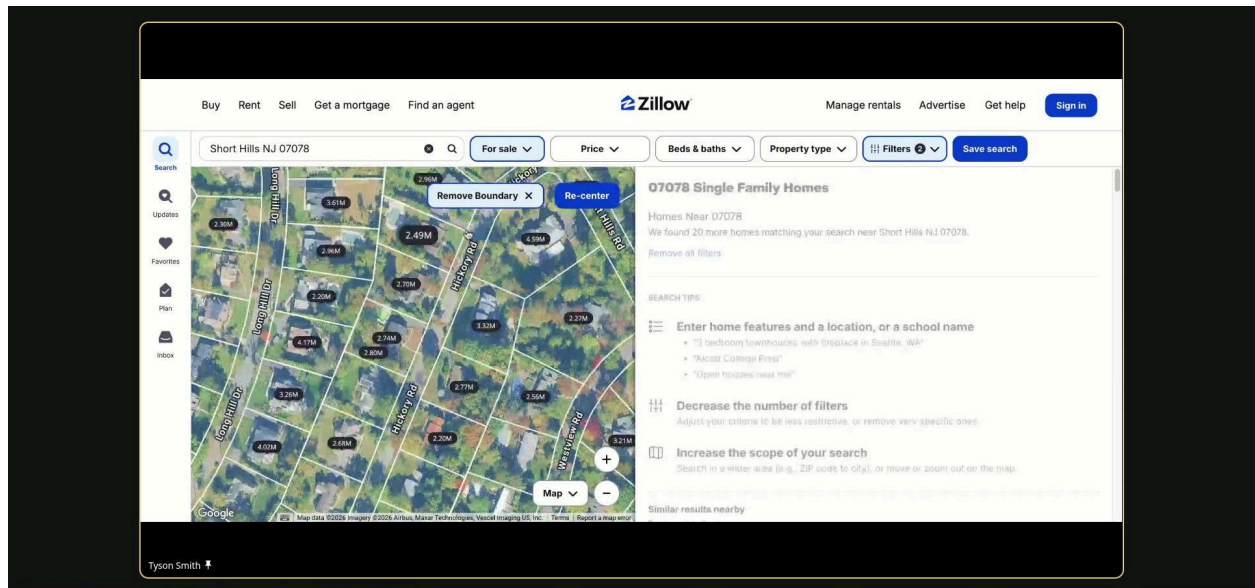
Do Step 3 for three or four different new builds. A pattern will show up fast. In our example, the lots were all about half an acre, and builders paid around 1.4 to 1.6 million for each one.

Now you know your two key numbers: the lot size builders want, and the price builders pay. Hold onto both. You will use them again and again.

Step 5: Look at the other houses nearby

Here is where you find out if it is a true goldmine market. Look at the other houses around the new builds. You care about their Zestimate, which is Zillow's guess at what a home is worth.

You want other houses with a Zestimate that is close to or below what builders pay. Find the lowest ones in the pocket. Stay within about \$200,000 to \$300,000 of the builder buy price. If builders pay 1.6 million, you want Zestimates in the high ones, around 1.8 to 1.9.



Zoom in and read the home values around the new builds. You are looking for the lowest ones you can find.

Step 6: Watch the square footage

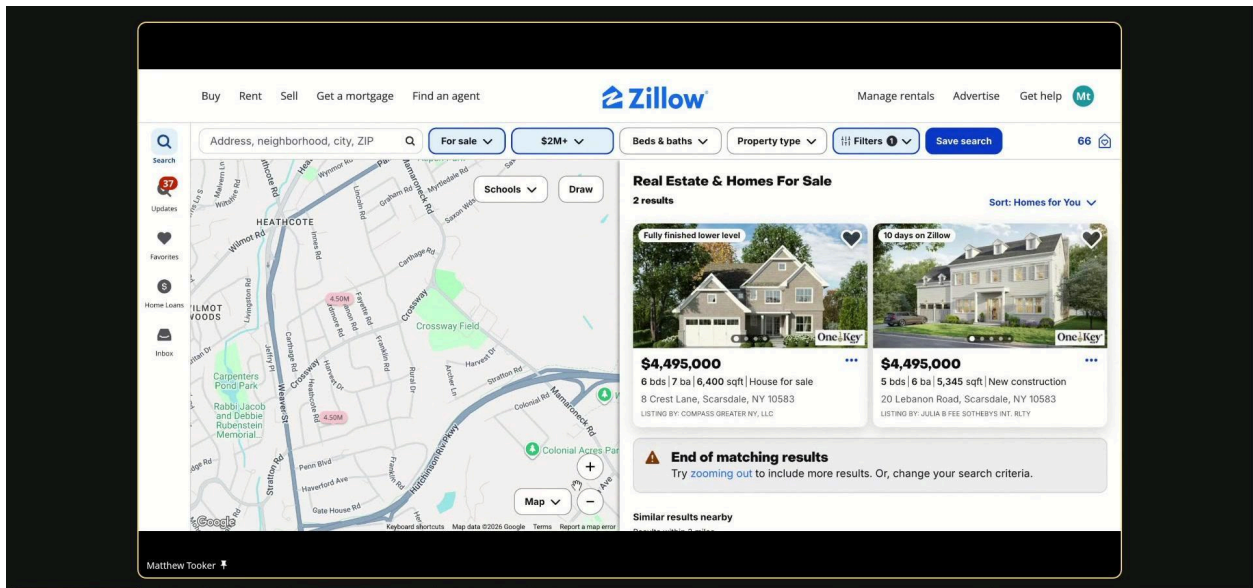
Not every old house is a tear down. A larger square footage old house is a remodel, and builders do not want it (though luxury fix and flipper might). So you need to watch the size.

Look at how big the new builds are. Most were six to eight thousand square feet. Stay away from old houses that are bigger than about 50 percent of that size. Here is the simple version: if the new builds are 6,000 square feet, skip old houses over 3,000ish square feet.

The small old houses are your low hanging fruit. Those are the owners you can make a fair offer to and still sell the lot to a builder.

Step 7: Stay inside one pocket

Markets change fast across a main road or a highway. Homes on one side can sell for 4 million, and homes one street over can sell for 7 million. So never cross a major road when you study a market or pull a list. Work one small pocket at a time.

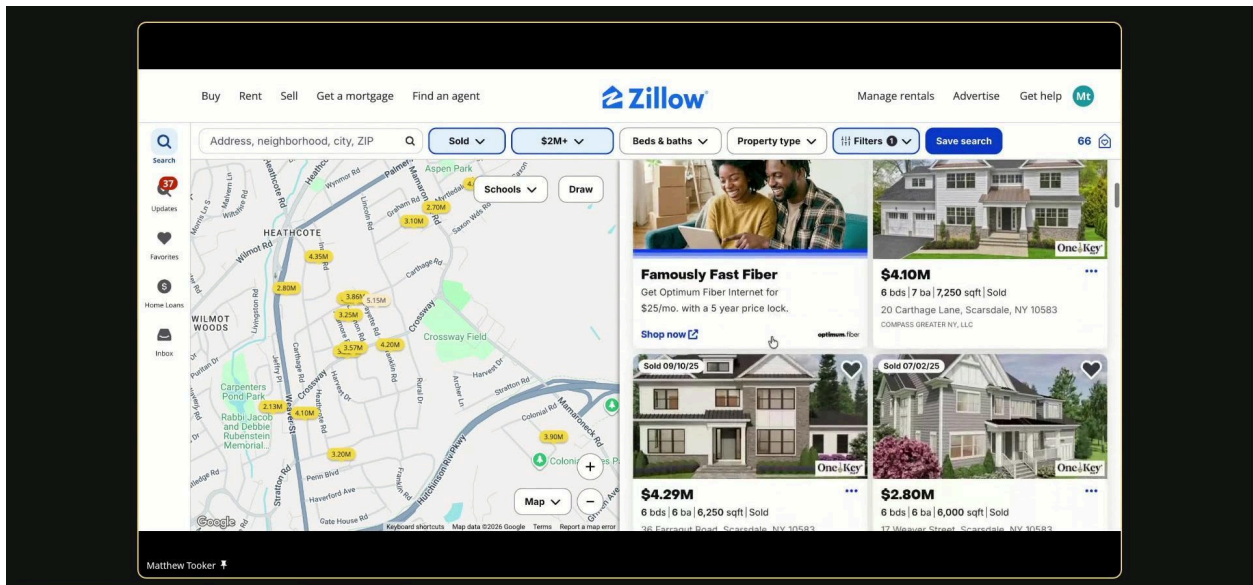


This small pocket only shows two homes for sale, and it sits between two main roads. Keep your work inside lines like these.

Step 8: Check demand with Sold

Sometimes a pocket only shows one or two homes for sale. At first that can look weak, like there is no demand. Before you skip it, do this.

Switch the top filter from For Sale to Sold. Keep all your other filters the same. Now you can see homes that already sold to builders. If you see lots of recent sales over 2 million, the demand is there, even if only a couple are for sale right now.

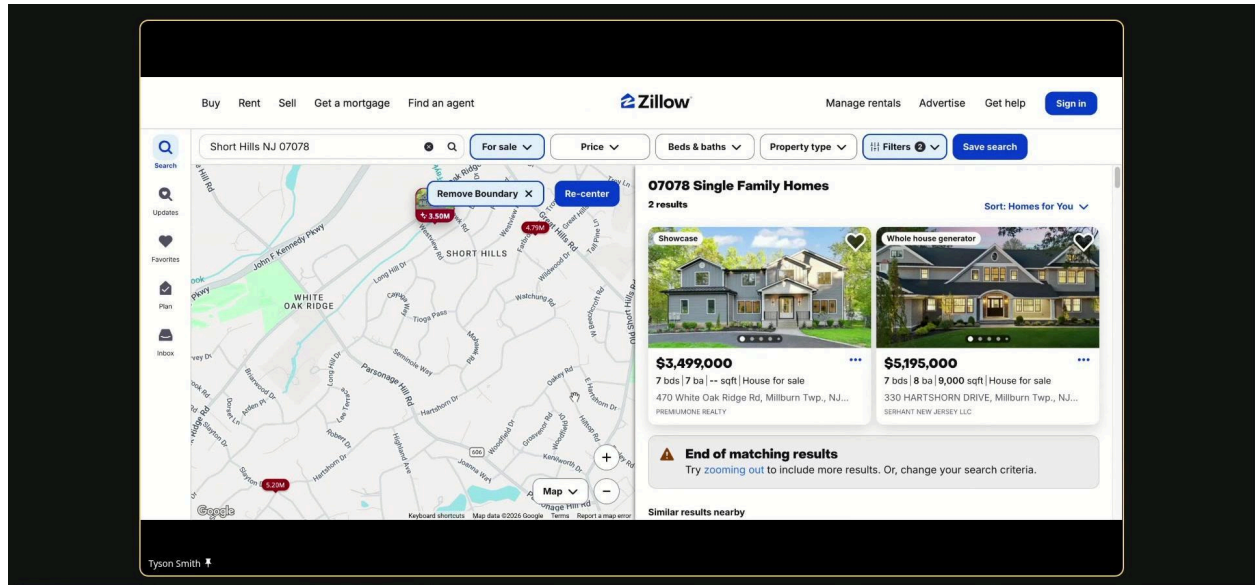


The same pocket with the filter switched to Sold. Now you can see how many homes have already traded to builders.

Step 9: Mark your boundary

Zillow will not draw the boundary for you, so do it by hand. Follow the main streets on the map and find where the low Zestimate old houses start and stop. Note the cross streets.

Also write down two things while you are here: the year range most of the tear downs were built, and the lot size range builders are buying. You will need both for the next step.



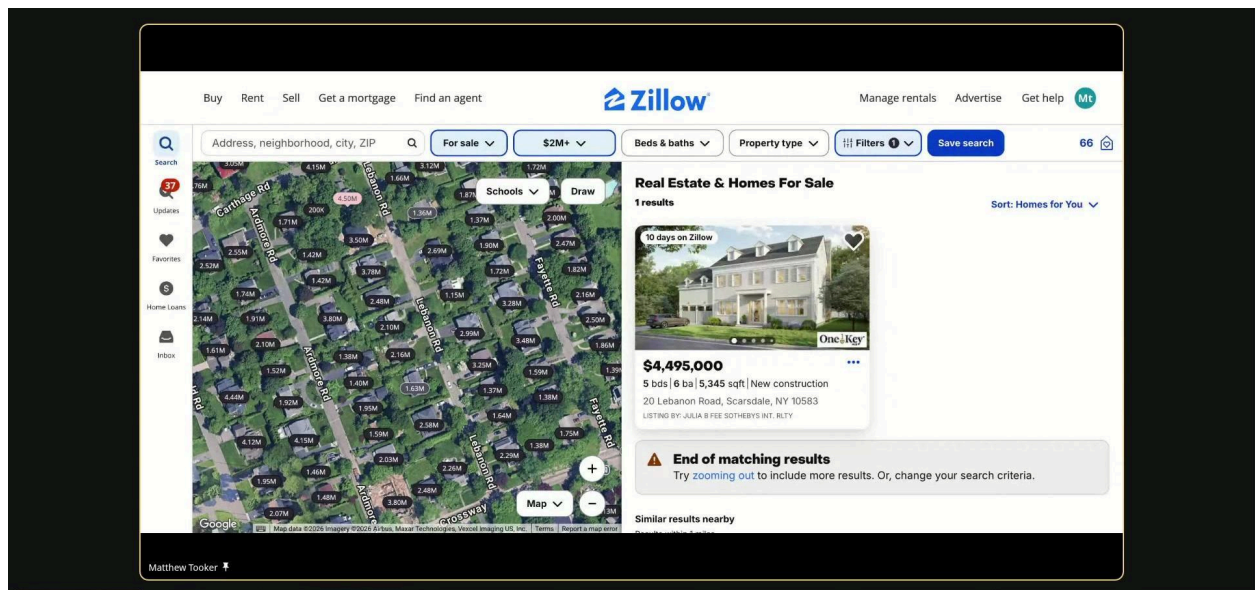
Walk the main streets and mark the exact area where your low value old houses sit.

Step 10: Pull the list in Land Atlas

Open Land Atlas and draw the same boundary you just marked on Zillow. Then set these filters:

- Off market.
- Single family homes.
- Owner has owned for at least five years.
- Lot size in the range builders want. In our example, under about half an acre and over 6,500 square feet.
- **Max year built, with a cushion.** If most tear downs were built in the 1940s, set it to 1950. Give yourself a few extra years so you do not miss any.
- **Max square footage.** Add this to cut out the big houses. In our example, under about 2,500 square feet.

This gives you the cleanest list you can pull. Every owner on it has an old house, on the size lot a builder wants, at a price you can work with.



The kind of pocket you want. Old homes on builder size lots, with values close to what builders pay.

Quick checklist

Run through this every time you check a new market.

1. Set filters: year built 2022, beds any, houses only, \$2 million and up.
2. Search the city or zip and remove the boundary.
3. Click three or four new builds. Note year built, lot size, and first sold price.
4. Find the trend: the lot size builders want and the price builders pay.
5. Look at the old houses. Find the lowest Zestimates near the builder buy price.
6. Cut out big houses by square footage. Keep the low hanging fruit.
7. Stay inside one pocket. Do not cross a main road.
8. Switch For Sale to Sold to check demand.
9. Mark your boundary and note the year and lot size ranges.
10. Pull the list in Virtual Flip Leads with all your filters.

Words to know

Goldmine market: a neighborhood where builders tear down old homes for new luxury homes, and you can still buy old homes there at a price that works.

Tear down: an old house a builder buys just to knock down and build new.

Zestimate: Zillow's guess at what a home is worth.

Lot size: how big the land is. Half an acre is about 21,780 square feet.

Net: the money a seller keeps after fees like commissions, title, and escrow.

Comp: a nearby home you compare to, so you understand local prices.

Virtual Flip Leads: the tool you use to pull your list of owners to reach out to.